# the chemours inc. CC

May 29, 2026 - 11:42am EST
by Motherlode

| | | | 2026 | 2027 |
|---|---|---|---|---|
| Price: | 22.00 | EPS | 1.28 | 2.245 |
| Shares Out. (in M): | 150 | P/E | 17.64 | 10 |
| Market Cap (in $M): | 3,375 | P/FCF | 20 | 10 |
| Net Debt (in $M): | 3,528 | EBIT | 515 | 0 |
| TEV (in $M): | 6,903 | TEV/EBIT | 13.5 | 10 |

## Description

**I drafted this several times, but used AI to finalize the document.**

## The Chemours Company (CC) — Investment Write-Up

### Executive summary

Chemours is a three-segment specialty chemicals company (Thermal & Specialized Solutions / refrigerants, Titanium Technologies / TiO2, and Advanced Performance Materials / APM) trading cheaply because two festering complications — PFAS litigation and an extended TiO2 cycle trough — dominate the narrative. We believe TiO2's fortunes are poised to spike on at least a cyclical basis and potentially secularly while PFAS is gradually whittled away.  The material beat from TiO2 helps reduce the PFAS risk, but most importantly it will free the market to value the refrigerants business objectively — and what they will discover is a gem: a patent-protected duopoly with regulated growth and a multi-bag opportunity in AI data center refrigerants.

We believe that the sulfur shortage will extend for 1-2 years, keeping TiO2 at current levels which should (at a minimum) lift the segment by $500mm of EBITDA over current forecasts of ~$1.0bn with a free option that China's rationalization drives a super-cycle. The refrigerant and APM segment will continue to grow while the PFAS liability will gradually melt away.  If so, we see upside $40-60/shr vs $22/shr today.

### Refrigerants (Thermal & Specialized Solutions)

The Solstice Advanced Materials write-ups on VIC provide additional color. Chemours (Opteon) and Solstice are de facto duopolists in next-generation HFO refrigerants in the US and Europe — protected by overlapping composition-of-matter and process patents, manufacturing scale, and regulatory complexity, rather than by a single shared patent. The two companies are partners on certain molecules (most notably HFO-1234yf for automotive AC, jointly developed in the early 2010s and standard in new cars from ~2017), and each holds substantial separate IP on its own product family.

The regulatory tailwind is the American Innovation and Manufacturing (AIM) Act, signed into law in December 2020 with bipartisan support (Carper-D / Kennedy-R) as part of the Consolidated Appropriations Act. The AIM Act directs the EPA to implement an 85% phasedown of HFC production and consumption by 2035, mirroring the Kigali Amendment to the Montreal Protocol. Because the law itself is bipartisan and aligned with an international treaty commitment, the framework is hard for any administration to dismantle — which is exactly what supports a long-duration duopoly thesis. The phasedown requires the gradual conversion of HVAC/AC units from HFC to HFO refrigerants. The primary shift has already been made: new AC units for homes require the new refrigerant.

Today, Chemours and Solstice are still selling primarily into the OEM channel — supplying HVAC manufacturers installing the primary unit. This is the seeding phase of the market: high volume, lower margins. The aftermarket recharge cycle is where the real economics sit. Once installed AC units need to be recharged, Chemours sells to a fragmented customer base on a specialized basis with materially higher margins. In parallel, the legacy HFC product can still be sold, but under a tightening quota framework that squeezes supply — allowing Chemours' Freon line to benefit from price as we transition out.

As time passes, new categories are added to the phasedown schedule. Most recently, the EPA proposed reconsideration of the Technology Transitions Rule (published October 3, 2025) and granted a one-year extension for certain new variable refrigerant flow (VRF) installations using pre-2026 HFC components — pushing some commercial/light-commercial installation deadlines to January 1, 2027. The stock sold off on this and similar grocery/supermarket pacing adjustments. We view the move as a bogus political bow to special interests. All of the HVAC manufacturers have already converted. A grocery store is unlikely to want to buy a chiller with a 30-year life realizing they won't have HFC's to recharge it in the coming years. As such, this recent weakness is pure opportunity.

In October 2025, Honeywell completed the spin-off of Solstice Advanced Materials (NASDAQ: SOLS) as an independent specialty materials pure-play. Solstice's refrigerants and applied solutions business generated $1.3bn of net sales in 2024 within a $3.8bn total Solstice asset base, giving a useful sizing benchmark for Chemours' own refrigerants business. Importantly, an independent Solstice has explicit incentive to maintain pricing discipline rather than being lost inside a larger industrial conglomerate — strengthening the duopoly. In February 2026, the European Patent Office's Boards of Appeal upheld the validity of Solstice's foundational EP 2546225 process patent for HFO-1234yf — a meaningful 2026 data point that extends the patent moat in Europe.

As patents begin to expire, there is some risk — starting in Asia at the end of this decade — that Chinese producers interfere. HFO-1234yf composition-of-matter patents largely expire in the early 2030s, with process patents (including the recently upheld EP 2546225) layering protection on top for longer. The technology path continues to evolve, and a stack of patents on next-generation blends protects the franchise into the middle of next decade.

#### AI Data Center opportunity

Chemours' refrigerant business is positioned to supply next-generation refrigerants to AI DCs. Today, the air-cooled model is being rapidly

converted to a liquid-cooled model — typically a single-phase water/glycol solution. Water/glycol cooling means a massive amount of electricity consumed to keep the DC cool, with roughly 30–40% of DC power forced to cooling. Further, the technical limit of single-phase cooling is being reached. Rubin Ultra will draw ~2x the power of current generations and works best when the architecture is configured to be extremely close — amplifying the heat problem.

Chemours has spent the last five years developing a two-phase direct-to-chip solution that would materially reduce electricity and water consumption while allowing GPU/CPU to operate in close proximity. We suspect that within the next year one of the major GPU releases will adopt this as standard reference architecture. The technology is a likely stepping stone to full immersion cooling, where the entire GPU/server is submerged in a two-phase dielectric liquid that doesn't short the equipment and allows GPU thermal envelopes to be pushed further. Chemours appears to be the thought leader here. Notably, 3M historically dominated this niche with Novec but has announced its exit from PFAS-based fluids — handing the field to Chemours and a small set of newer entrants.

Sizing the opportunity: Chemours has not yet disclosed named design wins, and a unit-economics build (dollars per MW of cooling, dollars per kW of TDP, fluid replacement cycle) is the key missing public data. We model incremental sales as the base case. Should Chemours become a dominant winner, it could be a company-transforming technology, generating $1bn+ in EBITDA. We are still evaluating a retrofit thesis: today the average AI DC runs at a subdued ~80% utilization because GPUs would otherwise overheat, and the largest cause of mean-time-failure is heat-driven equipment failure. A retrofit with two-phase fluid could add 10–15% utilization, reduce failure rates, and cut electricity demand that could be redirected to additional GPUs. In a compute-constrained environment, retrofits of facilities that have already deployed single-phase water/glycol could be a new opportunity.

Orbital data center sizzle is real.  Space is one of nature's most extreme vacuum, making heat dissipation extremely difficult, and Chemours appears to have a view a potential solution.  To be clear, orbital data centers strikes us as highly speculative for now.  We list it as optionality only.

### Forward HFO regulatory risk (TFA)

The single most important risk in the refrigerants thesis is that HFO-1234yf is itself a PFAS under broad regulatory definitions. Its atmospheric degradation product is trifluoroacetic acid (TFA), which is absorbed in rainfall and has proliferated in surface water; German authorities have linked TFA to reproductive toxicity. The European Chemicals Agency's universal PFAS restriction proposal, if adopted with the broad definition, could put HFO-1234yf and its blends in scope alongside Teflon, Viton, and Nafion. ECHA's RAC and SEAC opinions are expected over the next 12–24 months, though timing has slipped before.

Why we are not yet derailed by this: (1) the AIM Act and Kigali commitments lock in a global HFC phasedown — there is no scalable low-GWP non-HFO alternative for most stationary AC applications, so a restriction without an alternative is politically very hard; (2) Solstice and Chemours both have substantial Brussels lobbying engagement and have argued successfully that the universal definition is overbroad; (3) restrictions are likely to be targeted (e.g., open-use applications, consumer products) rather than blanket.  This is a less likely bear case that merits monitoring.

## TiO2 (Titanium Technologies)

The TiO2 story has been repeated across the materials space. Thirty years ago, China had essentially zero presence. Today, China dominates global supply with an estimated 50–55% share. Their model for driving growth was to build more than they needed and export the excess while they waited for domestic demand to catch-up. China drove this dominance with cheap labor and cheap coal — both of which are far less abundant today. More importantly, China has decided that the next leg of its growth must come from adding value. To adjust, China targeted industries for anti-involution. TiO2 attracted the CCP's attention for several reasons:

1. China's property bust and declining population greatly reduced the outlook for internal TiO2 demand.
2. China's TiO2 industry — using the sulfate method — is an energy hog, which destroys value.
3. Chinese producers like Lomon Billions finally figured out the chloride method, which doesn't use sulfur, uses less energy, generates less pollution, and yields higher-purity TiO2.

Under normal circumstances, we would be suspicious of a government making hard decisions to cut capacity to allow remaining suppliers to generate returns. The last three years since the anti-involution decree serve as testimony to China's limited capacity to make hard decisions. Since then, the supply of TiO2 has moved materially higher — mostly via chloride supply and post-Covid stimulus based additions, but also due to a lack of supply curtailment.

We believe two recent shifts could serve as a final catalyst for more aggressive closures: (1) global tariffs into substantially all importing countries, and (2) the Iran war.

### Tariffs

Following China's anti-involution decree, Chinese capacity continued to rise — mostly due to post-COVID stimulus-related decisions and innovation in the chloride process. China decided to allow the anti-involution-aligned new chloride capacity to come online, but couldn't swallow the bitter pill of capacity reduction in legacy sulfate. This was likely due to local political alliances and the disruption caused by plant closures. The enormous export volumes triggered a multi-year price collapse, forcing Venator into Chapter 11 in 2023 and other capacity closures. The world responded in 2025 with a wave of tariffs in Europe, Brazil, Australia, and India, mirroring the U.S. The tariffs pushed the higher-cost Chinese capacity DEEPLY into value-destruction territory. In response, China removed its VAT export rebate for TiO2 earlier this year — a forceful step toward eliminating high-cost capacity.  The VAT export rebate is a strong indication that the CCP understands that TiO2 exports drag on the Chinese economy.

### The sulfur shock from the Iran war

Immediately thereafter, the Iran war broke out. We believe this is potentially the accelerating catalyst that removes a substantial amount of marginal supply. There are two ways to make TiO2 — sulfate and chloride. The sulfate method uses 1.3 metric tons of sulfur per ton of TiO2. The chloride method uses zero sulfur (and the war has, if anything, loosened the chlorine market).

Sulfur is generated as a byproduct of refining oil and processing natural gas. Once stripped, H2S — a highly toxic, corrosive gas that cannot be flared, emitted, or stored — is converted to elemental sulfur and shipped globally, predominantly as feedstock for sulfuric acid.

Sulfuric acid which helps manufacture phosphate fertilizers, ammonium sulfate/nylon, leach mine tailings, lithium-iron-phosphate (LFP) battery production, and various industrial activities. Sulfur entered the Iran war already extremely tight due to robust LFP demand growth in China and supply reductions from Russia post-Ukraine war.

The Iran war is creating a crisis on three fronts: (1) global refinery activity is running ~10% below normal, more aggressively in China and Asia given their reliance on Strait of Hormuz crude; (2) substantial refinery activity was curtailed inside the Strait of Hormuz; (3) most importantly, the South Pars gas field is exceptionally sour, meaning it carries an extremely high sulfur ratio. The Qatar LNG facility is down. It will take the longest to return to service — one major gas processing facility and one LNG train are damaged for years.

Qatar's LNG operation is particularly fraught. The facility and the LNG transfer vessels are extremely easy targets. More importantly, Qatar and Iran share the field; it is hard to believe that Iran can't help but think that Qatar is drinking its milkshake. Iran couldn't afford to build an LNG facility, nor attract the foreign expertise to build one. Iran's ability to export gas as methanol has also been compromised. If Iran retains any lingering control over the Strait of Hormuz, we suspect this operation is delayed from consistently supplying the market. By compromising this supply, the 10–15% of total 2026 global seaborne sulfur that was lost so far will take years to rebalance.

In short, assuming a deal in the coming days, we have lost an estimated 10–15% of 2026's normal sulfur supply due to the war. This will take several years of rationing to overcome — assuming the Strait of Hormuz returns to pre-war operating levels, and longer if operational recovery is delayed.

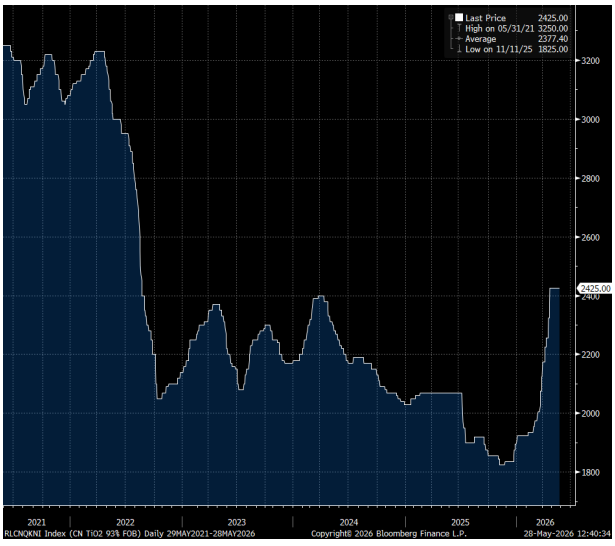
## China's policy response

Roughly 40% of Chinese sulfur is consumed in phosphate production — essential if China wants to feed >1bn people and maintain agricultural self-sufficiency. The CCP took immediate notice and on March 13, 2026 issued a decree requiring that sulfur be converted to phosphate first. Beyond phosphate, ~20% goes to lithium-iron-phosphate batteries. Nothing has justified China's race to diversify from oil more than the Iran war, so the LFP allocation has been buttressed. After that, roughly 25% of Chinese sulfur demand is for general industrial activity, including nylon 6 (which mirrors the TiO2 story, though China seems less set on curtailing nylon-6 supply given more durable domestic demand). Finally, there is the sulfate route to TiO2: about 50% of Chinese sulfate-TiO2 production is for internal consumption, the balance exported. China has also banned the export of sulfuric acid. This temporarily alleviates local conditions but only delays the impact of a global shortage on its own economy. We suspect China is still in very short supply and understand that sulfur inventories are depleting quickly despite the policy shifts.  One incredibly telling fact is China announced its phosphate exports will be massively curtailed in 2026 from ~5mm tons last year to 500k this year.  They are clearly doing this to balance sulfur as best they can.  India's tenders have been short in phosphate and nitrogen.  the CCP must realize the policy implications of restricting the supply of fertilizers to a world that planted far fewer acres than normal and applied far less fertilizer for the 2026 season.  A hungry world doesn't order product from china.  A world that has grey plastic bags and dull paint might.  We don't have an immediate read on the ground in China.  however, if they are marshalling their sulfur resources by reducing exports of phosphates (an industry not targeted for involution), is it safe to conclude that TiO2 exports will suffer a simliar fate?

## What this means for Chemours specifically

4. Sulfur will likely remain short through 2027. At current prices, the sulfate method needs $500–700/ton of incremental TiO2 pricing to be cash-positive (we are using a cash-cost reference, FOB China basis, before transport and tariffs). Due to pre-war inventories on the cost-curve, it may take until later this year for that price signal to clear in the West, but ~1.1mm tons of marginal production could still benefit from this increase, especially with tariffs amplifying the effect. This alone would mean Chemours starts beating EBITDA estimates by close to double. The impact could be shorter-lived if sulfur supply normalizes — the windfall cash flow is approximately $4–20/share if the shortage lasts 1–2 years, depending on where prices settle. This optionality looks free in CC today.
5. There is a reasonable shot that these extreme conditions — tariffs, scarce sulfur, zero CCP support — force substantial supply out. With China retrenching, its exports (currently ~25% of global supply) could be materially curtailed. Should legacy high-cost sulfate capacity be sacrificed to help allocate scarce sulfur (which would only save 6–7% of total Chinese sulfur demand), we could wake up to materially lower TiO2 exports and a structural shortage that would extend the cycle for years — pushing the stocks toward replacement value rather than spot multiples.

Chinese TiO2 Prices:




We suspect China's short-term policy efforts — especially the sulfuric acid export ban — have so far moderated a violent reckoning, but some capacity has been idled. Phosphate production has declined materially globally as a perverse vehicle for allocating scarce sulfur. The war is also limiting northern hemisphere acreage plantings and nitrogen application, raising the odds of a panic later this summer/fall in

crop prices, which could trigger a violent phosphate demand recovery and a sharp pull on sulfur. In short, TiO2 could start to meaningfully contribute to Chemours' results in 2H, with significant upside depending on how much capacity is rationalized.

## Advanced Performance Materials (APM)

APM is Chemours' fluoropolymers franchise — Teflon, Viton, Nafion, Krytox — sold into semiconductors, transportation, industrial processing, and hydrogen / clean energy applications. APM has been a reporting segment since the 2015 Chemours IPO; the 2021 change was a re-segmentation into Thermal & Specialized Solutions, TiO2 Technologies, APM, and the (now-divested) Chemical Solutions group. The original APM thesis (secular tailwinds from semis, hydrogen, and EVs driving high-teens to 20%+ margins) has been undermined by weak hydrogen adoption, cyclical industrial softness, an operational outage at Washington Works, the regulatory-driven exit of the Capstone business (the C6 fluorosurfactants line, which Chemours wound down as part of its broader commitment to exit short-chain PFAS-based surfactants — a positive in the long run because it removes a future liability creator, though a near-term revenue headwind), and the persistent PFAS overhang. APM generates roughly $1.2–1.3bn in annual revenue at 12–15% EBITDA margins — a specialty business that has been performing more like a cyclical one.

Several adverse impacts are now behind it. Washington Works is running normally, the Capstone exit is complete, and overhead reductions are done. We believe this is a high-quality business with room for margins to expand beyond 15%.

APM is a solid little business with some hidden options inside APM worth flagging explicitly:

- Semiconductor wet-process exposure: fluoropolymers are essential in semi fabs (Teflon-lined piping, valves, wafer carriers). The AI capex cycle is a direct tailwind that is undermentioned in most sell-side models.
- Nafion / hydrogen: Nafion is the dominant proton-exchange membrane for both green hydrogen electrolyzers and PEM fuel cells. Hydrogen has been weak, but if policy revives (US 45V finalization, EU RFNBO targets biting), Nafion is a real call option.
- Same TFA / universal-PFAS regulatory risk discussed in the refrigerants section applies to Teflon, Viton, and Nafion. This is a meaningful tail risk for APM specifically.

## PFAS liability

Chemours' PFAS liability stems from the 2015 spin-off from DuPont, which left it holding legacy 'forever chemicals' exposure across four buckets: (1) site remediation and natural resource damages; (2) public water system claims; (3) personal injury (the legacy Leach class in Ohio/WV and the AFFF MDL); and (4) state attorney general actions.

The resolution framework is the 2021 binding Memorandum of Understanding with DuPont and Corteva. Under the MOU, Chemours pays 50% of qualified PFAS costs and DuPont/Corteva share the other 50%, capped at $4bn of qualified spend over up to 20 years (DuPont and Corteva's combined share is itself capped at $2bn, with DuPont/Corteva splitting the first $300mm 50/50 and thereafter DuPont 71% / Corteva 29%). This framework was used to settle the 2023 US public water systems case (Chemours share: $592mm) and most recently the August 2025 New Jersey settlement of $875mm gross over 25 years (NPV ~$500mm), with DuPont and Corteva acquiring Chemours' insurance recovery rights for $150mm — leaving Chemours with roughly $85mm of net obligations over 25 years and no payments needed in the first five years. The Leach class personal injury claims (for diseases linked to PFOA in the Ohio/WV cohort) remain a separate, older liability stream with a different cost-sharing posture.

Timing-wise, other state AG settlements should follow the NJ template over the next 1–3 years, with cash outflows stretched into the 2040s. The implication is that the legacy environmental/water track is being converted from open-ended litigation into manageable, shared, partially insurance-funded payment streams — generally a positive for the equity narrative. The real tail risks now sit in personal injury: the AFFF MDL in South Carolina (>15,000 pending cases) and especially the January 2026 Montana federal court ruling allowing RICO and multi-state claims to proceed in the Butte-Silver Bow firefighter turnout gear class action, with potential equipment replacement costs for over one million firefighters estimated in the billions before any RICO trebling. Liquidity is adequate in the near term given the back-loaded payment schedule, but the personal injury/RICO track remains the key swing factor for the stock.

Two refinements relative to our prior draft: (1) the August 2025 NJ settlement is $875mm gross — not $2bn as some media outlets have reported; (2) the most likely off-ramp for the firefighter gear case is the Ninth Circuit ruling on whether the indirect purchaser bar applies to RICO claims (the Montana court explicitly held the RICO count open pending that decision). If indirect purchasers can't sue under RICO, the treble-damages threat collapses, leaving only ordinary tort theories that are far easier to fold into the existing MOU framework.

Frankly, we see upside and long-shot downside risk here. While we suspect the matter resolves favorably, even a settlement is a major catalyst. Without the PFAS overhang, we see the stock trading at ~12x our 2027E EBITDA of $1bn (which itself assumes TiO2 remains at the trough and most EBITDA is derived from the high-quality refrigerants and APM segments). With low confidence, our central estimate of PV PFAS liability is $500mm+/-; the market today appears to assign roughly $5bn of PV — implying we are being paid handsomely for what is, in our view, a manageable risk.

## Management, capital structure, and items previously omitted

Denise Dignam has been CEO since 2024, following the departure of Mark Newman over an internal controls investigation focused on working capital management. The internal controls remediation has been completed, but we view the episode as a reminder to apply some discount to reported FCF until two or three more clean quarters print. Otherwise, capital allocation has been disciplined: the dividend has been maintained but not aggressively grown, given the liability profile.

Capital structure: Chemours carries approximately $4bn of debt with leverage in the mid-3x range. Net debt is material to the per-share math and needs to be carried explicitly in any EV bridge. Management has guided that liquidity is adequate through at least May 2027 based on cash, future operating cash flows, and $953mm of revolver availability — but with the appropriate caveat that adverse legal/environmental resolution could materially change that picture.

Other items worth flagging that were missing from our prior draft:

- EU PFAS universal restriction (ECHA): a 2027–2028 risk to the entire fluoropolymers franchise, not just legacy liabilities — covered above in the refrigerants and APM sections.

- Insurance recoveries: the NJ deal monetized $150mm of insurance recovery rights, but the total estimated PFAS-related insurance recovery pool across all claims is materially larger and should be netted against any liability estimate.
- Free cash flow conversion: historically volatile due to working capital swings and elevated environmental capex. Our 10% FCF yield reference assumes normalized conversion; bear case sensitizes this lower.
- 3M PFAS exit: 3M's announced phaseout of PFAS manufacturing by end of 2025 reduces competition in select Chemours product lines (notably high-purity fluoropolymers and dielectric cooling fluids) — a tailwind we treat as supportive of the refrigerants and APM thesis.

## Valuation

The stock appears cheap unless you assume PFAS liability PV of $5bn or higher. We see CC trading at approximately 6.8x our 2027E EBITDA of $1bn with over a 10% FCF yield, with the following options stacked on top:

- TiO2 cyclical inflection (and potential secular re-rating if Chinese capacity rationalizes).
- AI DC two-phase cooling adoption (incremental in base case; transformational in bull case at $1bn+ incremental EBITDA).
- Sequential PFAS settlements following the NJ template, each of which is a discrete catalyst.
- Nafion / hydrogen optionality if policy revives.

Approximate EV bridge (illustrative — readers should sanity-check against current screens):
Unsupported image type. Bottom line: we are being paid to wait on three independent catalysts (TiO2 cycle, AI DC, PFAS resolution)

# Chemours Co/The

**CC US EQUITY** As of Date 3/31/26

| Market Overview | USD | | |
|---|---|---|---|
| Price | 22.50 | | |
| DSO | 150 | | |
| **Market Cap** | **3,375** | | |
| (-) Cash | 563 | Debt | 4183 |
| (+) Debt | 4,391 | PFAS | 500 |
| Net Debt (incl pension) | 3,828 | | |
| Asset Sale | (300) | | |
| (-) Minority | - | | |
| **Total Enterprise Value** | **6,903** | | |

| Valuation (Consensus) | 2021 | 2022 | 2023 | 2024 | 2025E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|
| P / E | | 4.8x | 8.0x | 18.6x | 23.7x | 17.6x | 10.0x |
| EV / EBIT | | 6.5x | 9.8x | 14.2x | 17.2x | 13.5x | 9.9x |
| EV / EBITDA | | 5.1x | 6.8x | 8.8x | 9.3x | 8.1x | 6.8x |
| P / FCF | | 7.6x | N/A | N/A | N/A | 10.6x | 8.9x |
| FCF Yield | | 13.2% | 0.0% | 0.0% | 0.0% | 9.4% | 11.2% |

| P/L (Consensus) | 2021 | 2022 | 2023 | 2024 | 2025 | 2026E | 2027E |
|---|---|---|---|---|---|---|---|
| **Revenue** | **6,345** | **6,794** | **6,078** | **5,782** | **5,808** | **6,053** | **6,406** |
| y/y | | 7.1% | (10.5%) | (4.9%) | 0.4% | 4.2% | 5.8% |
| **EBIT** | **996** | **1,070** | **707** | **485** | **402** | **512** | **695** |
| EBIT Margin % | 15.7% | 15.7% | 11.6% | 8.4% | 6.9% | 8.5% | 10.8% |
| **EBITDA** | **1,313** | **1,361** | **1,014** | **786** | **742** | **852** | **1,013** |
| EBITDA Margin % | 20.7% | 20.0% | 16.7% | 13.6% | 12.8% | 14.1% | 15.8% |
| **EPS** | **4.00** | **4.66** | **2.82** | **1.21** | **0.95** | **1.28** | **2.25** |
| EPS Growth | | 16.5% | -39.5% | -57.1% | -21.5% | 34.7% | 75.4% |
| **FCF** | **543** | **447** | **0** | **0** | **0** | **318** | **379** |
| FCF growth | | (17.7%) | (100.0%) | #DIV/0! | #DIV/0! | #DIV/0! | 19.2% |
| **FCF Conversion** | *41.36%* | *32.84%* | *0.00%* | *0.00%* | *0.00%* | *37.26%* | *37.38%* |
| **FCF / Share** | | | | | 0.00 | 2.12 | 2.52 |

*This document is an analytical write-up for internal discussion. It contains estimates, opinions, and forward-looking statements that may prove incorrect. It is not investment advice. Readers should conduct their own diligence and consult a licensed financial advisor before making any investment decision.*

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

## Catalyst

2H earnings
PFAS settlements

## Messages

**Subject** I'm in
**Entry** 06/10/2026 09:46 PM
**Member** katana

because of your writeup (plus my old out-of-date CC/TROX experience and new data centers experience).

I have nothing to add or ask. Great write-up. Thanks!

---

**Subject** Question
**Entry** 06/10/2026 11:20 PM
**Member** preyingmantis

Great write up. Question on the data center angle. We did some work on this and were told that coolIT just demoed (last week) a 15kW cold plate on regular water glycol and apparently Rubin Ultra is only ~2.3kW. so... the water guys can already handle 6x more heat than the chips on Nvidia's roadmap, and Nvidia's own designs stay water based through 2027. Curious what you're seeing that gets you confident on the 12 month reference architecture call other than the limits in physics u cite

thx

---

**Subject** Toi2 dynamics
**Entry** 07/21/2026 10:47 AM
**Member** rii136

Thanks for the write-up - broader question to you or others following along, we've refreshed a bit here on Tio2 and are a bit more skeptical of the potential for a Tio2 resurgence, or at least we haven't gotten a sense of clear signs this is happening yet. Curious to get your or others views:

1) From what we understand pricing increased at peak concern around sulfur, but have since trailed off, despite materially higher costs for the sulfate process than existed Pre-Iran. While we agree that many Tio2 sulfate method producers aren't making money (as has been the case for awhile), it's unclear to us what will suddenly prompt this change. Do you have a view?

2) We were intrigued by the sulfur shortage thought process, but our understanding is that there are other sources for sulfuric acid, mainly from smelting plants, that are allowing China to continue to produce Tio2 (albiet at a higher price). Supply of Tio2 from plants still seem plentiful and export volumes are increasing. Outside of profit motive, what do you make of the ability to get sulfuric acid and bypass the contraints on sulfur?

3) While I understand there are circumstances that may come to pass that could allow for a recovery, the bigger issue here seems to be that China increasing has chloride process as well and just has a dramatically lower cost structure and is fine not making money in Tio2. Regardless of whether or not we get lucky with a cycle, it seems like the end game here is margins continue to get destroyed over time.

thanks,

rii

---

**Subject** Re: Toi2 dynamics
**Entry** 07/21/2026 04:35 PM
**Member** Motherlode

rii - i am puzzled as to what is happening in china. so far, they are curtailing phosphate exports and adjusting with the other behaviors/policy you mentioned. however, they haven't imported sulfur for ages and the inventories are at extremely low levels. we subscribe to acuity and they are providing near emergency shortage levels. so far, china has refused to import. however, it appears reasonable that they must at some point. so far, tio2 exports have not faded at all. however, at some point old legacy sulfur inventories at below market prices will run out and spot sulfate producers will need to decide whether to lock in a loss or idle. further, I don't see why china is working so hard to accommodate this industry that was targeted for involution. silly me for betting on markets to work in china. however, I do see further pricing with the cost curve supporting this, especially as tio2 buyers of sulfate must face complication. the inflection will come if sulfur shortage expands and they are forced to ration due to policy or if prices of sulphur push tio2 higher. I think this happens, but unclear

outside china, the us and western markets are very tight due to aggressive capacity reduction, higher cost curve in china + tariffs. this leaves these markets poised to see price increases. at some point, this will attract chinese supply, but for now it appears v attractive.